FIDUCIARY LIABILITY

SECTION I: INSURING AGREEMENTS

Fiduciary Liability Coverage – The Insurer shall pay, on behalf of the Insureds, Loss resulting from any Claim first made against the Insureds during the Policy Period (or any Extended Reporting Period, if applicable) for a Wrongful Act by the Insureds (or by any person for whose Wrongful Act the Insureds are legally responsible). This Coverage Part applies only to Claims for Wrongful Acts in the Insureds' capacity as fiduciaries of an Insured Plan as defined herein.

For purposes of this Coverage Part, "Loss" includes Defense Costs, judgments, settlements, and other amounts the Insured is legally obligated to pay as a result of a Claim, including punitive or exemplary damages (where insurable by law) and certain civil penalties under ERISA Sections 502(i) and (l), to the extent insurable. However, Loss does **not** include taxes, fines or penalties (except to the extent specifically covered by this policy), non-monetary relief, or matters uninsurable under applicable law (including disgorgement or the return of ill-gotten gains).

SECTION II: DEFINITIONS

A. **Administration** means advising, counseling, or giving notice to Employees, participants, or beneficiaries regarding any Plan; providing interpretations regarding any Plan; or handling records or enrolling, terminating or canceling Employees, participants, or beneficiaries in any Plan.

B. **Claim** means any demand or proceeding asserted against an Insured for a Wrongful Act, including a written demand for monetary or non-monetary relief, a civil lawsuit (commenced by service of a complaint), a formal administrative or regulatory proceeding, or an arbitration or other alternative dispute proceeding. The term "Claim" shall also include a criminal proceeding or formal investigation of an Insured, but only if and to the extent covered by this Coverage Part or expressly endorsed herein.

C. **Insured Entity (Insured Organization)** means the entity named in the Declarations as the Named Insured, and any Subsidiary thereof. *Subsidiary* means any entity in which the Named Insured owns or controls more than 50% of the voting rights or equity interests, either directly or indirectly.

D. **Insured Plan** means any employee benefit plan sponsored solely by an Insured Entity for the benefit of Employees (including any welfare or pension benefit plan as defined in the Employee Retirement Income Security Act of 1974 (ERISA)). Insured Plan also includes any employee benefit plan or program sponsored solely by an Insured Entity for the benefit of Employees that is not subject to Title I of ERISA (for example, an excess benefit or top-hat plan), as well as any government-mandated insurance program for workers' compensation, unemployment, social security, or disability benefits for Employees (other than a multi-employer plan). An Insured Plan includes any other plan or program specifically listed as covered by endorsement to this Policy. **Insured Plan** shall **not** include any Employee Stock Ownership Plan (ESOP) or any multi-employer plan, unless such plan is specifically added by endorsement. No coverage is provided under this Coverage Part for any Claim against an Insured acting in a settlor (non-fiduciary) capacity with respect to any plan, such as decisions to establish, terminate, or amend a plan, unless such coverage is added by endorsement.

E. **Insured Person** means any natural person who was, is, or becomes: (1) a duly elected or appointed director, officer, or Manager of an Insured Entity; (2) an Employee of an Insured Entity; or (3) a fiduciary, trustee, or administrator of an Insured Plan. Insured Person also includes any person designated as a fiduciary of an Insured Plan or serving on any committee established to oversee an Insured Plan, if such person or committee is specifically included as an Insured by endorsement to this Policy. An Insured Person shall include the lawful spouse or domestic partner of any of the foregoing persons, but only for Claims that seek to recover from marital community property or property jointly held by the Insured Person and such spouse/domestic partner; no coverage applies to any Claim alleging a Wrongful Act by that spouse or domestic partner. Insured Person also includes the estate, heirs, legal representatives, or assigns of a deceased or legally incapacitated Insured Person in the event of such Insured Person's death or incapacity.

F. **Insureds** means collectively, any Insured Entity, Insured Plan, and Insured Person as defined above.

G. **Wrongful Act** means any actual or alleged act, error, omission, misstatement, neglect, breach of duty, or other matter: (1) **breach of fiduciary responsibilities, obligations or duties imposed by ERISA or any similar law** upon fiduciaries of an Insured Plan, committed in an Insured Person's or Insured Entity's capacity as a fiduciary of the Insured Plan; or (2) **matter claimed against an Insured solely by reason of such Insured's service as a fiduciary of an Insured Plan**. For the avoidance of doubt, "Wrongful Act" in this Coverage Part is limited to fiduciary breaches or associated misdeeds in the administration of an Insured Plan that give rise to liability under ERISA or equivalent applicable law. Wrongful Act **does not** include settlor acts such as the establishment, termination or amendment of any plan, nor purely ministerial administrative errors, which are not covered under this base form.

(All other capitalized terms used in this Coverage Part, if not defined herein, shall have the meanings ascribed in the common Definitions, Conditions, or elsewhere in the Policy.)

SECTION III: LIMITATIONS OF LIABILITY AND RETENTIONS

A. **Limit of Liability:** The Limit of Liability for this Coverage Part is the amount specified in the Declarations for Fiduciary Liability coverage. This limit is the maximum aggregate amount the Insurer will pay for all Loss under this Coverage Part resulting from all Claims first made during the Policy Period and any Extended Reporting Period. The Limit of Liability is inclusive of Defense Costs; payment of Defense Costs will reduce and may exhaust the available Limit of Liability. The Limit of Liability for this Coverage Part is part of, and not in addition to, the Policy's Aggregate Limit of Liability (if any) stated in the Declarations. If a single Claim gives rise to coverage under multiple Liability Coverage Parts of this Policy, the maximum aggregate limit for that Claim shall not exceed the largest applicable single Coverage Part limit. In the event Loss covered under this Coverage Part exceeds the remaining available Limit of Liability, the Insurer shall pay Loss of Insured Persons (if any) that is not indemnified by any Insured Entity (Non-Indemnifiable Loss) prior to paying other Loss, until the Limit of Liability is exhausted.

B. **Retention:** The Retention amount specified in the Declarations for Fiduciary Liability applies to each Claim under this Coverage Part. The Insurer's obligation to pay Loss (including Defense Costs) applies only to Loss in excess of the applicable Retention, and the Insurer will have no obligation to pay any portion of the Retention. The Retention

shall be borne by the Insureds uninsured and at their own risk. If the Insurer advances Defense Costs or other Loss within the Retention, the Insured Organization (or Named Insured) shall reimburse such amounts to the Insurer upon request. No Retention shall apply to Loss that an Insured Person is legally prevented from being indemnified for by the Insured Entity (i.e. **Non-Indemnifiable Loss**). Subject to the foregoing, if an Insured Plan is legally permitted to fund some or all of a Loss (including Defense Costs) but fails to do so, such Loss within the Retention will be the responsibility of the Insured Plan or Insured Organization, as permitted by law.

(Any sublimits of liability or additional Retentions applicable to specific endorsements or coverage extensions (e.g. for HIPAA penalties or Voluntary Compliance programs, if added) will be set forth in those endorsements or in the Declarations. Unless otherwise stated, any such sublimit is part of, and not in addition to, the Limit of Liability for this Coverage Part.)

SECTION IV: EXCLUSIONS

A. The Insurer shall not pay Loss for any Claim:

1. **Prior Notice** – based upon, arising from, or attributable to any fact, circumstance, situation, Wrongful Act or Claim which has been the subject of any written notice given under any other policy or coverage prior to the inception of this Coverage Part.
2. **Prior or Pending Proceedings** – based upon, arising from, or attributable to any demand, suit, or other proceeding pending against any Insured on or before the applicable **Prior/Pending Litigation Date** stated in the Declarations, or the same or substantially the same fact, circumstance or situation underlying or alleged in such prior proceeding.
3. **Bodily Injury/Property Damage** – for bodily injury, sickness, disease, death, mental anguish, or emotional distress of any person, or for damage to or destruction of any tangible property, including loss of use or diminution of value thereof.
4. **Contaminant** – based upon, arising out of, or in any way relating to any actual, alleged or threatened discharge, dispersal, release, escape, seepage, migration, or disposal of **Contaminants** (including any nuclear material or nuclear waste), or any direction or request to test for, abate, monitor, clean up, remove, contain, treat, detoxify or neutralize Contaminant or nuclear material.
5. **Contractual Liability** – based upon, arising from, or attributable to any liability of an Insured under any contract or agreement, including any obligation of an Insured to contribute as an employer to any Insured Plan; provided, however, that this exclusion shall not apply to liability (a) that the Insured would have in the absence of such contract or agreement, or (b) assumed under any agreement or declaration of trust pursuant to which the Insured Plan was established.
6. **Employment-Related Acts** – based upon or arising out of any employment-related wrongful act or omission, including but not limited to any claim for employment discrimination, wrongful termination, harassment, failure to employ or promote, or any claim for unpaid wages (including overtime), workers' compensation benefits, unemployment or disability benefits, failure to provide required employee breaks, or any violation of the Fair Labor Standards Act,

Equal Pay Act, Worker Adjustment and Retraining Notification (WARN) Act, or any similar federal, state or local law regarding employment standards.

7. **Settlor Acts** – based upon, arising from, or attributable to any act, error, or omission by any Insured in a **settlor** or similar capacity with respect to any plan or trust. This includes, but is not limited to, decisions or activities related to the design, structure, establishment, termination, amendment, or funding of any plan, program, or trust, such as the decision to create or terminate a Plan, or to amend the benefits provided by a Plan.

8. **Administrative Errors** – based upon, arising from, or attributable to any act, error or omission in the **Administration** of any plan. This includes any counseling or communicating with employees or plan participants about a Plan, the handling of plan records, or the enrollment, termination, or cancellation of participants or beneficiaries under a Plan.

9. **Personal Gain** – based upon, arising from, or attributable to an Insured gaining in fact any personal profit, remuneration or financial advantage to which such Insured was not legally entitled.

10. **Fraudulent or Willful Misconduct** – based upon, arising from, or attributable to any criminal or deliberately fraudulent act, or any willful violation of law, by an Insured, if a judgment or other final adjudication in the underlying proceeding establishes that such act, omission or violation occurred.

    For the above **Personal Gain** and **Fraudulent/Willful Misconduct** exclusions: (i) no Wrongful Act of any Insured shall be imputed to any other Insured for purposes of applying these exclusions, and (ii) with respect to an Insured Entity or Insured Plan, these exclusions shall not apply unless a past or present chief executive officer, chief financial officer, or general counsel of the Named Insured committed the disqualifying act, omission or violation.

B. Other than that portion of Loss constituting **Defense Costs**, the Insurer shall not pay Loss for any Claim:

1. **Benefits Due** – for the actual or alleged failure to pay benefits due, or allegedly due, under any Insured Plan, including any amounts which would be due under the terms of any Plan if such Plan complied with all applicable law. **However,** this exclusion shall **not** apply to the extent that: **(i)** the Claim includes a covered allegation of a Wrongful Act by an Insured, and **(ii)** the benefits are owed as a personal obligation of an Insured Person and not paid from the Plan.

2. **Failure to Fund** – based upon, arising from, or attributable to the failure to fund any Insured Plan, or to collect contributions owed to an Insured Plan.

3. **Return of Contributions** – for the return or reversion of any contribution or asset to an employer or Insured Entity from an Insured Plan, or for any loss of investment value or appreciation of plan assets that results from any such return or reversion of contributions.

Exclusions (B)(1)–(3) above mean that while the Insurer will defend the Insureds against claims demanding payment of benefits, contributions, or similar plan assets, the Insurer will not itself pay for the benefits, contributions, or plan assets that are allegedly due

(except as provided under the narrow carve-back for personal liability of Insured Persons). The Insurer's payments under this Coverage Part for such Claims will be limited to Defense Costs, settlements, or judgments attributable to covered Wrongful Acts other than the value of the benefits or contributions in dispute.

C. **Other Exclusions:** Notwithstanding anything to the contrary, no coverage will be available under this Coverage Part for civil penalties or fees under the Health Insurance Portability and Accountability Act (HIPAA), any taxes or excise taxes (e.g. under the Internal Revenue Code or ERISA Section 502(c) other than civil penalties explicitly included in the definition of Loss), or for any obligations under workers' compensation, unemployment insurance, social security, or disability benefits laws (except to the extent the Claim involves COBRA as defined in ERISA, which is not excluded here). Coverage for certain statutory penalties (such as HIPAA or COBRA penalties) or voluntary compliance fees may be available by endorsement with sublimits, if so stated in the Declarations.

SECTION V: NOTICES AND CONDITIONS

A. **Claims Made and Reporting:** This Coverage Part is written on a claims-made basis. As a condition precedent to coverage, the Insureds must give written notice to the Insurer of any Claim first made during the Policy Period (or any applicable Extended Reporting Period). Such notice shall be given as soon as practicable after any Executive Officer of the Insured Entity or its risk manager becomes aware of the Claim, but in no event later than 90 days after the expiration of the Policy Period (if no Extended Reporting Period is in effect) or by the end of the Extended Reporting Period (if purchased).

If during the Policy Period (or Extended Reporting Period) the Insureds become aware of circumstances that may reasonably give rise to a future Claim, the Insureds may provide written notice of such circumstances to the Insurer, including the anticipated allegations and particulars of persons and entities involved. If such notice of circumstances is duly given, then any Claim subsequently arising from those reported circumstances shall be deemed to have been first made during the Policy Period (or Extended Reporting Period) in which the notice was accepted by the Insurer. No coverage shall apply to defense expenses or other loss incurred prior to the time such circumstances develop into a Claim and are reported as a Claim in accordance with this section. All notices of Claims or circumstances under this Coverage Part shall be in writing (or by authorized electronic means) and directed to the Insurer at the address specified in the Declarations (or to any updated address the Insurer designates for claims notice). Notices to any Insured may be given to the Named Insured at the address on file. Notice given as described in this section shall be deemed effective upon receipt by the Insurer.

B. **Duty to Defend and Defense Procedures:** The Insurer has the right **and duty** to defend any covered Claim against the Insureds under this Coverage Part, even if any of the allegations are groundless, false or fraudulent. The Insurer's duty to defend will cease upon exhaustion of the applicable Limit of Liability. The Insurer may investigate and enter into settlement negotiations of any Claim as it deems necessary. The Insureds shall not admit or assume liability, enter into any settlement agreement, stipulate to any judgment, incur any Defense Costs, or otherwise voluntarily make any payment or assume any obligation with respect to any Claim **without the Insurer's prior written consent**. Only those settlements, judgments, and Defense Costs to which the Insurer

has pre-approved in writing (or which are incurred consistent with the provisions of this section) shall be recoverable as Loss under this Coverage Part. The Insurer's consent shall not be unreasonably withheld. The failure of one Insured to comply with the terms of this section shall not prejudice the rights of any other Insured who has complied with the conditions.

If the Insureds are able to settle a Claim (or multiple related Claims subject to a single Retention) for an amount not exceeding the applicable Retention, the Insurer's consent shall not be required for such settlement. If the Insurer recommends a settlement within policy limits and the claimant is willing to settle, but an Insured refuses to consent to the settlement, the Insurer shall be entitled to implement the following "hammer clause": the Insurer's liability for all Loss on account of such Claim will not exceed (i) the amount of the proposed settlement plus covered Defense Costs incurred up to the date the Insured refused to consent, **plus** (ii) 85% of any covered Loss (including Defense Costs) in excess of the amount in clause (i). The remaining 15% of such excess Loss (above the earlier proposed settlement amount) shall be carried by the Insured uninsured, and shall not be covered under this Policy. The Insured's refusal to consent shall not affect the Insurer's duty to continue to defend the Claim, but the Insured will be responsible for the uncovered portion of Loss as set forth above. The Insurer and Insureds agree to use best efforts to mutually cooperate and to not unreasonably withhold consent to any settlement proposal by either party under this section.

C. **Cooperation:** The Insureds agree to provide the Insurer with all information, assistance and cooperation reasonably required of them in the investigation, defense, negotiation or settlement of any Claim or potential Claim. Upon the Insurer's request, the Insureds will also assist in enforcing any rights of contribution or subrogation against any person or entity that may be liable to any Insured in connection with a Claim. The Insureds further agree that they shall do nothing that prejudices the Insurer's position or potential rights of recovery. Subject to the provisions of the prior paragraph, the Insureds may not incur Defense Costs or admit any liability with respect to any Claim without the Insurer's consent.

D. **Allocation of Loss:** If a Claim includes both covered matters and uncovered matters (including claims against persons or entities not insured under this Policy), either in the same suit or in separate related actions, the Insureds and the Insurer shall use their best efforts to fairly and reasonably allocate any resulting loss between covered Loss and uncovered loss. If the parties cannot agree on an allocation, the Insurer shall advance Defense Costs that it believes to be covered until a different allocation is negotiated, arbitrated or judicially determined. In any such allocation, 100% of Defense Costs attributable to claims against insured parties (even if jointly defending with uninsured parties) shall be allocated to covered Loss to the extent those Defense Costs benefit the defense of insured claims. Loss other than Defense Costs shall be allocated between covered and uncovered matters based on the relative legal and financial exposure of all parties to the covered allegations, and, if applicable, based on the relative benefits obtained in connection with any settlement of covered vs. uncovered matters. The Insurer's obligation to pay Loss under this Coverage Part applies only to the portion of Loss that is determined to be covered under this Policy.

E. **Other Insurance:** This insurance shall be excess of and shall not contribute with any other valid and collectible insurance available to any Insured (including but not limited to insurance under which any Insured is a joint or additional insured), unless such other insurance is written specifically excess of this Coverage Part. In no event shall this

insurance be considered co-insurance with any other policy. **However,** this exclusion shall not apply to a personal umbrella liability policy maintained by an Insured Person, nor to an employer's fidelity bond or similar insurance that is written to specifically cover losses to an Insured Plan. If a Loss under this Coverage Part is covered by other insurance, the Insureds must promptly provide the Insurer with copies of such policies as requested.

F. **Subrogation:** In the event of any payment of Loss under this Coverage Part, the Insurer shall be subrogated to all rights of recovery of the Insureds against any person or organization to the extent of such payment. The Insureds agree to execute all papers required and do everything necessary to secure and preserve such subrogation rights, including the execution of any documents to help the Insurer effectively bring a subrogation action in the name of the Insureds. The Insurer will not subrogate against an Insured Person except and to the extent that such Insured Person has been finally adjudged to have committed a deliberate fraudulent or criminal act (as described in Exclusion (A)(10) above) or any other intentional wrongdoing that is excluded from coverage. Any recoveries obtained through subrogation (after deducting reasonable expenses incurred in obtaining such recovery) shall be applied first to the Insurer up to the amount of its Loss payment, then to any Retention amounts paid by the Insureds, and any remaining amounts shall be paid to the Insureds.

G. **Extended Reporting Period:** If the Insurer or the Named Insured cancels or refuses to renew this Coverage Part (other than for non-payment of premium), the Named Insured shall have the right, upon payment of the additional premium stated in the Declarations, to elect an **Extended Reporting Period** (ERP). The ERP will extend the period for reporting Claims first made against the Insureds after the end of the Policy Period, but only for Wrongful Acts occurring entirely before the end of the Policy Period and otherwise covered by this Coverage Part. The Named Insured may elect a one-year ERP (or a longer period, if offered in the Declarations) by giving written notice to the Insurer of such election and paying the specified additional premium within 30 days after the effective date of cancellation or nonrenewal. The additional premium for the ERP shall be fully earned at inception of the ERP and the ERP may not be cancelled by the Insurer. The ERP is not a new policy and does not increase or replenish the Limits of Liability – it is part of the terminated coverage, providing an extended time for reporting Claims arising from prior acts. At the commencement of the ERP, the entire premium shall be deemed earned, and all premium paid for the ERP is non-refundable.

H. **Coverage Territory and Legal Actions:** This Coverage Part applies to Claims made worldwide, provided the Claim is brought within a court or other tribunal within the applicable jurisdiction stated in the Policy (or as permitted by the applicable law). All payments due under this Coverage Part shall be made in the currency stated in the Declarations. No legal action may be taken against the Insurer unless, as a condition precedent, there has been full compliance with all the terms of this Coverage Part and the Policy, and the Insured's obligation to pay has been finally determined either by a final judgment against the Insureds or by written agreement of the Insurer. No person or entity has any right under this Coverage Part to join the Insurer as a party to any action against the Insureds to determine the Insureds' liability, nor may the Insurer be impleaded by the Insureds or their legal representatives in any such proceeding.

I. **Conformance to Law:** Any terms of this Coverage Part which are in conflict with the applicable laws governing this policy in any state shall be deemed amended to conform to such laws. If any provision of this Coverage Part is found to be invalid or

unenforceable under applicable law, the remainder of its terms and conditions shall remain in full force and effect.

J. **Headings and Glossary:** The descriptions in the headings and sub-headings of this Coverage Part (and any endorsements) are inserted solely for convenience and do not constitute any part of the terms or conditions of coverage. Capitalized terms used in this Coverage Part are defined in Section II or in the common Definitions section of the Policy. Words in the singular shall include the plural, and vice versa, as required by context. Words in **bold** type have special meaning in this Coverage Part.

K. **Bankruptcy or Insolvency:** The bankruptcy or insolvency of an Insured (including an Insured Plan) shall not relieve the Insurer of its obligations under this Coverage Part. In the event a liquidation or reorganization proceeding is commenced by or against an Insured Entity or Insured Plan under Title 11 of the United States Code (Bankruptcy) or any similar state or foreign law, the Insureds and the Insurer agree not to oppose or object to any effort by the Insurer or any Insured to obtain relief from any stay or injunction applicable to the Policy or its proceeds, to the extent such relief is necessary to allow the Insurer to respond to a Claim in accordance with the terms of this Coverage Part.

L. **Representation / Severability:** By acceptance of this Coverage Part, the Insureds agree that the statements in the Application for coverage are true and are the basis of this Policy and have been relied upon by the Insurer in issuing this Coverage Part. This Coverage Part is issued in reliance upon the truth of those representations. The Application shall be considered as incorporated in and constituting part of the Policy. It is agreed that, with respect to the Application and any information provided to the Insurer as part of the underwriting of this Coverage Part, **no statements made or knowledge possessed by any Insured shall be imputed to any other Insured for the purpose of determining coverage**. In particular, the knowledge of any past or present director, officer or Employee of the Insured Entity who is not a **Signing Executive** (as defined in the common Policy terms) shall not be imputed to any other person for purposes of determining if coverage is available. However, the knowledge of any Signing Executive (such as a chief executive or chief financial officer who signed the application) shall be imputed to the Insured Entity, and any knowing misrepresentation or fraud by such person in the Application may be grounds to void or rescind coverage for the Insured Entity (and for any Insureds who knew of such misrepresentation) as permitted by law. This Coverage Part shall otherwise be non-rescindable as to any Insured Person who did not personally make any material misrepresentation in the Application.

End of Fiduciary Liability Coverage Part.

(All other terms, conditions, and exclusions of the Policy remain unchanged.)